How Trump's tariffs will hit Australia, in four charts



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US President Donald Trump has hit the country's trading partners with tariffs of up to 49 per cent, in the biggest shock to global trade in decades.

Australia's exports to the US will be slapped with the minimum baseline tariff rate of 10 per cent from April 5, while Asian economies that record large trade surpluses with America will be hit with levies as high as 49 per cent.

Selected "Liberation Day" tariffs announced by Donald Trump

Country	US reciprocal tariff (%)
Cambodia	49
Vietnam	46
Sri Lanka	44
Bangladesh	37
Thailand	36
China	34
Taiwan	32
Indonesia	32
Switzerland	31
South Africa	30
Pakistan	29
India	26
South Korea	25
Japan	24
Malaysia	24
EU	20
Israel	17
Phillipines	17
Minimum baseline tariff	10

Source: Financial Review

With just 4 per cent of Australia's goods exports going to America, the direct effect of the new tariff will be modest. The US was Australia's fifth-largest destination for goods exports in 2023-24, with Australian companies selling $21.9 billion worth of products to America.

Beef exporters face a hit

Australia's beef exporters will face the biggest hit from the 10 per cent tariff. Beef accounted for about 15 per cent of Australia's goods exports to the US last financial year – more than any other product.

Trump especially mentioned the meat on Wednesday (Thursday AEDT), complaining that Australia "won't take any of our beef". Australia has banned US beef imports since 2003 because of concerns it is contaminated with "mad cow disease", despite US officials presenting scientific evidence that the risk of transmission was minuscule.

Telecommunications equipment, other meats, and aircraft parts used by Boeing are among Australia's other top exports to America that will now face a 10 per cent tariff.

Australia's top 20 exports to the United States, 2023-24

	Export product	By value ($)	By share of total exports (%)
1	Beef	$3.3B	15.1%
2	Gold	$1.7B	7.8%
3	Confidential	$1.7B	7.7%
4	Pharmaceutical products	$1.6B	7.4%
5	Meat (excluding beef)	$1.5B	6.9%
6	Aircraft, spacecraft & parts	$891.2M	4.1%
7	Medical instruments	$787.0M	3.6%
8	Gold coin	$663.8M	3.0%
9	Measuring & analysing instruments	$594.9M	2.7%
10	Animal oils & fats	$511.7M	2.3%
11	Telecommunications equipment	$433.9M	2.0%
12	Starches, insulin & wheat gluten	$432.3M	2.0%
13	Alcoholic beverages	$399.4M	1.8%
14	Miscellaneous manufactured articles	$334.1M	1.5%
15	Coated flat-rolled iron & steel	$314.9M	1.4%
16	Aluminium	$312.3M	1.4%
17	Non-electric engines & motors	$258.3M	1.2%
18	Ships, boats & floating structures	$228.7M	1.0%
19	Electrical machinery & parts	$205.4M	0.9%
20	Sugars, molasses & honey	$203.2M	0.9%

Table: Michael Read, AFR • Source: Department of Foreign Affairs and Trade

Trump has temporarily exempted pharmaceutical products from tariffs, but the White House has flagged it still plans to implement a sector-specific levy on medical imports in future. Pharmaceutical products such as blood plasma were Australia's fourth-largest export to the US in 2023-24.

Gold, Australia's second-largest export to the US, will also be exempt from tariffs, according to a White House fact sheet.

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Broader concern

While the direct effect of the tariffs will be modest, Australia is a nation that profits from free-flowing global trade. That means the indirect effects of Trump's "liberation day" tariffs on the Australian economy could be much larger.

Since the Hawke government's decision to phase out Australia's remaining tariff barriers in the 1980s, exports have almost doubled as a share of the Australian economy to about 24 per cent of GDP today. Prime Minister Anthony Albanese on Wednesday said one in four Australian jobs depended on trade.

So while the US accounted for just 4 per cent of all Australian goods exports in 2023-24, NAB head of Australian economics Gareth Spence said this understated the effect of US tariffs on the domestic economy because of the importance of Australian goods in international supply chains.

Exports of goods and services as a share of nominal GDP (%)

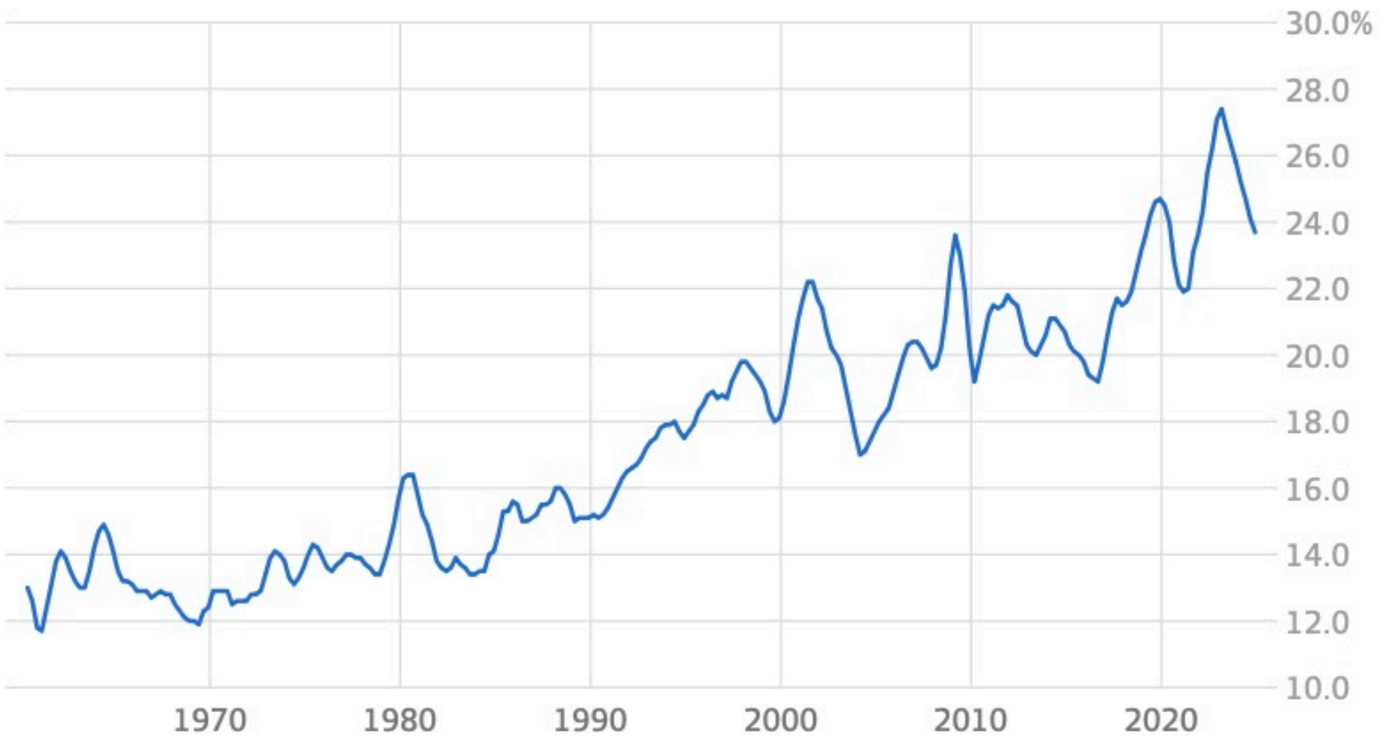


Chart: Michael Read, AFR • Source: Australian Bureau of Statistics

"Our largest raw commodity exports – including iron ore, copper, bauxite, alumina, aluminium – are typically refined, processed and turned into manufactured products offshore (cars, appliances and building products for example)," Spence said.

"These are often re-exported, including to the US. Any slowing in US demand for these manufactured products may then result in weaker demand for our raw commodity exports."

Australia's top 10 goods export destinations, 2023-24

	Jursidiction	Australian exports ($)	Share of total Australian exports (%)
1	China	$197.0B	36.7%
2	Japan	$77.6B	14.5%
3	South Korea	$39.9B	7.5%
4	India	$23.8B	4.5%
5	United States	$21.9B	4.1%
6	Taiwan	$19.3B	3.6%
7	Singapore	$18.0B	3.3%
8	Hong Kong	$14.2B	2.7%
9	Indonesia	$12.8B	2.4%
10	New Zealand	$12.7B	2.4%

Table: Michael Read, AFR • Source: Department of Foreign Affairs and Trade

Indeed, Trump has hit some of Australia's largest trading partners with significant tariffs. China, Australia's top export destination, will face a 34 per cent tariff on its exports to America. Japan and South Korea, Australia's second and third top export destinations, will incur 24 per cent and 25 per cent tariffs respectively.

If the new tariffs cause growth to slow across Australia's Asian trading partners, then they will, in turn, buy fewer Australian products.

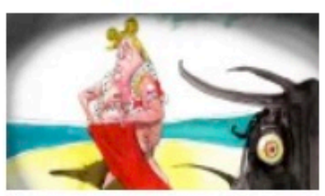
RBA governor Michele Bullock on Tuesday said that the central bank stood ready to help the economy if Trump's trade war caused a damaging slowdown. Bond markets now see a cash rate cut by the RBA on May 20 as almost inevitable.

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